Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting
(December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question focused on accounting issues arising from the acquisition of a company operating a theme park. In addition to assessing candidates' knowledge of group accounting issues which are typically tested in Section A, this case study also challenged them to apply logical thinking and analytical skills to practical accounting scenarios.

The specific areas tested included deferred tax implications in group accounting (in Question 1), accounting for borrowing costs (in Question 2(a)), revenue recognition for corporate sponsorship received (in Question 2(b)), and classification and measurement of a hotel under construction adjacent to the theme park (in Question 3).

Overall performance in Section A improved compared to previous examinations, although results still varied. While some candidates provided very strong answers, others did not attempt to respond. Generally, candidates exhibited stronger competencies in computational questions than in discursive questions, which required a higher level of analytical ability.

Specific Comments

Question 1(a) – 8 marks

This question required candidates to explain how contingent consideration should be measured both initially and subsequently, along with the relevant issues outlined in HKFRS 3 *Business Combinations*. Overall, candidates' performance was satisfactory.

Most candidates identified that the potential payment in question was a contingent consideration and should be measured at its fair value as at the acquisition date. However, some candidates presented contradictory results by failing to include the contingent consideration as part of the consideration in their calculation of goodwill in Question 1(b).

Stronger candidates showed a clear understanding of the classification of contingent consideration and its appropriate subsequent measurement. However, few fully utilised the information provided to quantify the loss arising from the remeasurement of fair value of such contingent consideration.

Question 1(b) – 14 marks

The question built on Question 1(a) and required candidates to compute goodwill, non-controlling interests, and deferred tax balances as part of the assessment of group accounting treatments. The case involved a fair value differential resulting from an internally generated intangible asset of the acquiree and an upstream inventory transfer with unrealised profits. Overall, candidates' performance was satisfactory, though there was still significant variation in the quality of their responses.

Most candidates demonstrated a grasp of basic group accounting techniques. It was encouraging to see that some candidates recognised the deferred tax implications of the internally generated intangible asset. However, candidates struggled with intra-group transactions, particularly in calculating the unrealised profits, and addressing the related tax issues. Further, many candidates did not realise that the upstream sale transaction would impact the non-controlling interests.

Beyond technical aspects of group accounting, candidates should read carefully the question's taxonomy to fully understand the requirements. Some provided extensive explanations of the relevant calculations, while the question specifically asked for the calculation of the three balances only. Further, as an examination technique for computational questions in Module 11, candidates are strongly advised to include supporting formulas when arriving at their answers to facilitate earning partial credit.

Question 2(a) – 8 marks

This question evaluated candidates' understanding of HKAS 23 *Borrowing Costs* and candidates' ability to apply it in a scenario involving general borrowing. Despite the straightforward nature of the scenario, candidates' performance was disappointing.

The question explicitly required candidates to explain the treatment of borrowing costs, with a reminder not to discuss the treatment related to the issue of the bonds; however, some candidates still based their answers on HKFRS 9 *Financial Instruments*. Candidates are strongly advised to read the questions carefully.

Many candidates merely copied the definitions of a qualifying asset and borrowing costs from HKAS 23 and calculated the total borrowing costs from the bonds in question. They concluded that the entire amount of these borrowing costs should be either capitalised or expensed, indicating a lack of comprehension of the accounting treatments for borrowing costs. Candidates are expected to differentiate between the accounting treatments of borrowing costs arising from specific borrowings and general borrowings.

Borrowing costs are closely related to property-related issues which are often assessed in professional examinations. Candidates are therefore advised to go beyond fundamental concepts like definitions and focus on understanding the principles behind qualifying assets and borrowing costs in HKAS 23. It is crucial to apply these principles in various scenarios to gain a comprehensive understanding.

Question 2(b) – 10 marks

The question required candidates to identify the relevant accounting standard for recognising the lump-sum corporate sponsorship received. Many candidates skipped this question without attempting it.

The key issue was to determine whether the corporate sponsor qualifies as a customer in HKFRS 15 *Revenue from Contracts with Customers* and then apply the 5-step model of revenue recognition.

It was encouraging to see that those who attempted this question recognised its relevance to revenue recognition and discussed it accordingly. However, the depth of analysis varied. Some candidates concluded directly that the revenue should be recognised over time. Those who applied the 5-step model step-by-step provided excellent analyses.

A professional accountant is expected to seek relevant guidance from accounting standards, including the *Conceptual Framework for Financial Reporting*, when faced with transactions that are not commonly encountered. This process necessitates a blend of business acumen and a comprehensive understanding of accounting standards. The assessment of this skill will be part of the professional module, aimed at evaluating the competencies of future accountants. Further, candidates should adopt effective examination techniques by tailoring their responses according to the marks allocated and time available for each question. For instance, this question was worth 10 marks, and candidates were expected to provide a more in-depth discussion of the 5-step model for revenue recognition, rather than merely stating a conclusion about how the amount received is to be recognised.

Question 3 – 10 marks

The question required candidates to analyse the classification of a hotel under construction and its measurement under the fair value model. Performance on this question was unexpectedly disappointing.

Although the question appeared straightforward and similar issues have been assessed in previous examination sessions, candidates struggled to utilise the facts provided in the case to draw a proper conclusion regarding the classification of the hotel under construction. Many candidates merely copied the definition of investment properties and concluded that the hotel should be classified as such. However, candidates were expected to analyse the operational model of a hotel before classifying it. Further, candidates did not properly address the requirement to analyse the classification of the hotel specifically during its construction phase.

The second part of the question, which related to the measurement of an investment property under construction, proved challenging for candidates. Most did not identify the relevant discussions in HKAS 40 *Investment Property* regarding a situation where an entity is unable to measure the fair value reliably during the construction stage.

Question 3 also assessed candidates' core enabling competencies -- a key feature of the New Qualification Programme. Specifically, this question evaluated candidates' communication skills in drafting a report. Overall, candidates demonstrated average performance.

Some top-performing candidates excelled and structured their response in a proper report format rather than a memorandum format. They included an introductory paragraph that clearly explained the scope and purpose of the report, along with clear and logical headings delineating the various sections. These candidates effectively communicated their analyses and conclusions, showcasing their excellent communication skills. This competence is essential not only for succeeding in the Capstone examination of the New Qualification Programme, but also for thriving in the workplace as qualified accountants.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are emerging or commonly seen in practice.

Candidates' performance was less satisfactory when it came to applying specific details in the accounting standards, which demonstrated a weak understanding of the topics tested. On some occasions, it appeared that candidates were not aware of the relevant standards despite the exam being open book. This led to superficial answers by merely copying the general requirements of the accounting standards without applying the relevant standards. It was also observed that on certain questions, candidates did not read the requirements of the questions carefully, resulting in overlooking key details and scoring low marks.

Candidates who scored high marks were able to present their answers logically and concisely, with their answers being supported with the accounting standards. In order to facilitate markers in awarding marks, candidates are strongly recommended to write legibly, especially for essay type questions. Structured presentation of answers not only increases ease of understanding but also helps candidates arrive at appropriate conclusions.

Overall, performance in this section was less than satisfactory.

Specific Comments

Question 4(a) – 11 marks

This question required candidates to analyse whether the investor needs to apply the equity method to account for its investment on the investor’s consolidated financial statements.

Many candidates appropriately concluded that the equity method should be applied to account for FDL and quoted relevant accounting standards and details from the fact pattern to support their conclusions.

Some candidates incorrectly concluded that the option to purchase shares in FDL, which are not currently exercisable, is relevant in the assessment and erroneously stated that CTL had control over FDL instead of significant influence.

Performance on this question was fair.

<u>Question 4(b) – 5 marks</u>

This question required candidates to explain the accounting treatment when the investor loses significant influence over the investee in the investor's consolidated financial statements.

Most candidates pointed out that upon the loss of significant influence, the equity method ceases to apply, and the retained interest is accounted for as financial assets at fair value through profit or loss or fair value through other comprehensive income in accordance with HKFRS 9 *Financial Instruments*. However, many candidates failed to clearly articulate the application of paragraph 22 of HKAS 28 *Investments in Associates and Joint Ventures*.

Performance on this question was less than satisfactory.

<u>Question 4(c) – 4 marks</u>

This question required candidates to describe and explain the accounting treatment of accounting software.

This question tested candidates' knowledge as to whether the accounting software should be accounted for in accordance with HKAS 16 *Property, Plant and Equipment* or HKAS 38 *Intangible Assets*. Performance on this question was poor. Many candidates did not recognise that the purchased off-the-shelf software should be classified as an intangible asset, which is accounted for in accordance with HKAS 38, and, thus wrongly concluded that the accounting software should form part of the computer and be accounted for in accordance with HKAS 16 *Property, Plant and Equipment*. Those who were able to identify the accounting software as an intangible asset failed to explain the appropriate accounting treatment on its subsequent measurement.

Question 5(a) – 3 marks

This question required candidates to identify the transaction as a non-adjusting event and explain the disclosure requirements in accordance with HKAS 10 *Events after the Reporting Period*. Performance on this question was poor. Most candidates overlooked the requirements of the question. Although candidates noticed the transaction was a share-based payment transaction, they failed to identify it as a non-adjusting subsequent event for the consolidated financial statements of HDL for the year ended 31 March 2023. In contrast, candidates who managed to identify the transaction correctly scored high or full marks.

Question 5(b) – 10 marks

This question required candidates to analyse the appropriate accounting treatment for the group equity settled share-based transactions at the subsidiary's financial statements level, the parent's separate financial statements level, and the parent's consolidated financial statements level.

Candidates demonstrated a thorough understanding of the question and were able to apply the relevant accounting standards to the question.

Performance on this question was particularly good.

Question 5(c) – 5 marks

This question required candidates to advise on ethical issues in the context of the *Code of Ethics for Professional Accountants*.

Performance on this question was fair. Candidates were generally able to identify the threats associated with the case (i.e. self-interest threat and intimidation threat). However, some candidates merely copied some general requirements of the *Code* from the book without applying the relevant requirements to the case, which did not help with scoring marks. Some candidates wrongly focused on the wrong behaviour of Steve rather than analysing the situation Maggie was in and advising her accordingly.

Question 6(a) – 7 marks

This question required candidates to explain the principles of accounting for a financial guarantee under HKFRS 9 *Financial Instruments*.

Overall performance on this question was poor. Some candidates did not know that the financial guarantee provided by GL in the context of the case was a financial liability and wrongly identified it as a financial asset, elaborating their answers with the relevant classification and measurement requirements of financial assets. It was also observed that some candidates had a poor understanding of this type of financial instrument and either gave brief answers or did not attempt the question.

Candidates who scored high marks not only quoted the relevant accounting standards but also accurately pointed out that the loss allowance would need to be re-measured when SL defaulted on the bank loans. However, very few candidates pointed out that the fair value of the financial guarantee liability was initially measured at HK$500,000, which was the same as the premium received, was given in the fact pattern, was a stand-alone arm's length transaction.

Question 6(b) – 5 marks

This question required candidates to explain integrated reporting matters in respect of: (i) the disclosure requirements of the Hong Kong Companies Ordinance; and (ii) the disclosure requirements of "comply or explain" provisions in the Stock Exchange of Hong Kong Limited's Environmental, Social and Governance (ESG) Reporting Guide.

Many candidates were able to score marks from (i) by pointing out that certain disclosure requirements of the Hong Kong Companies Ordinance are applicable to non-Hong Kong incorporated listed companies. However, many candidates failed to score marks from (ii) as they did not understand the question and failed to articulate the concept of "comply or explain" provisions, i.e. companies should either report the ESG issues or give considered explanations as to why not, based on materiality assessment.

Overall, performance on this question was less than satisfactory.

(III) Conclusion and Recommendation

Section A

As highlighted in previous examination panelists' reports, the Module 11 examination emphasises the importance of candidates demonstrating logical reasoning, analytical skills, and a solid grasp of practical accounting issues. Instead of merely recalling technical standards, candidates need to showcase higher-order skills necessary for addressing real-world accounting challenges. To enhance their performance in Section A of the Module 11 examinations, candidates are encouraged to cultivate a more comprehensive understanding of accounting principles. This involves not only mastering technical financial reporting standards but also developing the ability to analyse the fact patterns presented in case scenarios, identify relevant issues, and provide well-reasoned explanations based on applicable accounting standards or frameworks. Candidates should pay careful attention to the questions and the taxonomy of requirements, as this often offers valuable guidance on how to approach the accounting problems in an examination context.

Section B

Overall, performance of the candidates was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment.

Although this is an open book examination and candidates are not expected to be able to recite everything from the accounting standards, this does not relieve the responsibilities of the candidates of sufficiently familiarising themselves with the accounting standards and getting well prepared to apply them to various scenarios readily.

It was observed that some candidates spent a significant amount of time copying materials from the reference book in their answers without considering whether the materials are relevant to the questions or not. This is not an efficient way of answering the questions and did not help candidates score good marks. Candidates are also highly recommended to read the requirements of questions carefully before answering, which is an important step for candidates to answer the questions logically and accurately and to avoid elaborating unnecessary details.